

Defining the North Star Metric

Week 2 • Day 2 • Strategic Design & Metrics

TPM Academy



Day 2 Objectives

- Recognize and rebut the **three pitfalls**: vanity dressed up, leading-indicator confusion, gameable target
- Apply the **customer outcome / segment / single number** NS template
- Pair an NS with a **counter-metric** that defends against gaming
- Pass the "**CEO and Dispatcher**" test — the same NS that lands with leadership and lands with the user
- Replace yesterday's placeholder with a defensible North Star and refresh the Tier Sheet



Today's Shape

Clock	Block	Outcome
09:00 – 09:15	Opening	Re-read your placeholder NS aloud
09:15 – 10:30	Block 1 + Activity 1	Three Pitfalls Triage
10:45 – 12:00	Block 2 + Activity 2	Re-write your NS
13:00 – 14:15	Block 3 + Activity 3	"CEO and Dispatcher" test
14:30 – 16:00	Block 4 + Activity 4 + Readouts	Lock-in + Tier Sheet refresh

Block 1 — What a North Star Actually Is

And the three ways the term gets misused



The Working Definition

A North Star is the **single metric** whose movement signals that the **customer is winning AND the business is winning**, simultaneously.

It has three required parts:

Part	Test
Customer outcome	A verb the customer would recognize, not a feature
User segment	Specific enough to exclude users you don't serve
Single number	One chart, one direction, one team accountable



The Three Standard Pitfalls

Pitfall	Looks like	The tell
Vanity dressed up	"Total active users", "ARR"	Customers don't feel it directly when it moves
Leading-indicator confusion	"Time-to-first-value"	Can move without long-term customer benefit
Gameable target	"DAU" with no quality gate	Achievable via tactics that don't earn it

Annual recurring revenue (ARR), the classic "vanity dressed up" example, moves without customers feeling it.

The trap: A real NS smells like a key performance indicator (KPI) to the inexperienced PM. A vanity metric also smells like a KPI. The difference is whether you can name the customer outcome behind it.

Public-Company Examples

Company	NS (publicly stated or inferred)	Why it works
Spotify	Time spent listening	Customer outcome (engagement); excludes "saved but never played"
Airbnb	Nights booked	Single number; both sides of marketplace win when it climbs
Slack	Messages sent within engaged teams	Quality gate ("engaged teams") rejects vanity
Amazon retail	Customer-defined: lowest price × selection × delivery speed	Codifies the customer-experience promise

Activity 1 — Three Pitfalls Triage

Quads • 45 minutes

Your quad receives 8 NS candidates from public companies (anonymized).
For each: assign 0–3 pitfalls present, with a one-line argument.

- Find the one card that gets a clean bill of health
- Find the card that gets all three pitfalls
- Be ready to defend both choices

 25 min triage • 10 min argue • 10 min readout prep

Block 2 — Drafting Your NS

From placeholder to defensible



The NS Template

Three blanks, no exceptions:

```
We are winning when [customer outcome]  
increases for [user segment],  
measured by [single number].
```

FieldPulse worked example:

"We are winning when **completed reconcile-flow runs per dispatcher per shift** increases for **HVAC dispatchers in shops with 50–200 technicians**, measured by **weekly completed-flow rate**."



The Counter-Metric (the new tool)

A **counter-metric** is a second metric that, if it moves the wrong way, signals you're winning the NS for the wrong reasons. It is the guardrail.

NS	Counter-metric	What it catches
Hours of returned dispatcher time	% of dispatchers calling support after the new flow	Auto-flow that moved time but broke trust
Tickets resolved without escalation	Repeat-ticket rate from same customer	Closing tickets without solving them
Active accounts in week 1	30-day retention of those accounts	Activation that doesn't stick

Activity 2 — Re-write Your NS

Quads • 50 minutes

Each quad member proposes one NS candidate. Pitfall-test all three. Converge on one. Add a counter-metric.

- 25 min: each member drafts a candidate
- 15 min: pitfall-test all three (vanity, leading-indicator, gameable)
- 10 min: write the **NS Defense Card** with rebuttal answers + counter-metric

 15 min draft • 15 min test • 10 min defense card

Block 3 — The "CEO and Dispatcher" Test

One NS, two audiences, no translation



Two Audiences, Same Number

A defensible NS lands with the CEO (resource allocator) and with the target customer (the person whose life it represents) **without translation.**

The CEO probes

- "What if it goes up 20%? What does that earn the company?"
- "Why this metric, not [adjacent KPI]?"
- "How do we know we won, not lost?"

The customer probes

- "What changes about my Wednesday afternoon?"
- "What do I feel when it goes up?"
- "Why would I tell a colleague this got better?"

Walk Down, Walk Up

Walk down

From the NS to your operational signals: do they each plausibly contribute to it? Drop or replace any that don't.

Walk up

From the NS to a business outcome leadership cares about: revenue, retention, time-to-value. Can you trace it?

If both fail

Your NS is a KPI in disguise. Re-pick the customer outcome layer.

The Tier Sheet, refreshed: NS at the top, KPIs and operational signals re-checked against it. Coherence above all.

Activity 3 — "CEO and Dispatcher"

Quad pairs • 50 minutes

Pair with another quad. Take turns being defender and challenger. Challenger plays CEO for 4 min, then dispatcher for 4 min.

- Use the persona scripts in your packet (or paraphrase)
- Defender records the strongest challenge from each role
- Note: this is rehearsal, not stand-up comedy — commit to the role

 20 min round 1 • 20 min round 2 • 10 min capture

Block 4 — Lock In

Replace the placeholder, refresh the Tier Sheet, present



The Lock-in Checklist

- NS uses the template (outcome / segment / number)
- All three pitfall rebuttals are written, not waved away
- Counter-metric is named and concrete
- CEO challenge is captured and addressed
- Dispatcher challenge is captured and addressed
- Walk-down: every operational signal still belongs
- Walk-up: it rolls up to a business outcome leadership cares about

Activity 4 — Lock-In + Refresh

Quads • 55 minutes • Readouts

Final NS lock-in, walk-down/walk-up of the Tier Sheet, and a 90-second readout per quad.

- 10 min: lock the NS
- 30 min: walk-down (signals) and walk-up (KPIs & business outcome)
- 15 min: polish Defense Card and Tier Sheet for sharing

 10 lock • 20 walk • 15 polish • 90s readouts



Day 2 Wrap

What we built

- Three pitfalls + rebuttal habit
- NS template (outcome / segment / number)
- Counter-metric guardrail
- "CEO and Dispatcher" test
- Locked NS + refreshed Tier Sheet

What opens tomorrow

- **Product design & UX principles**
- How a TPM partners with design without becoming a designer
- Audit a real product surface against UX heuristics

Bring to Day 3: One product surface (FieldPulse mobile, web, or a competitor) you want to UX-audit.

Questions & Reflection

If your NS climbs 20% next quarter, what changes about your customer's day?